



Freddie Mac Multiple Property

SECOND HOME – PURCHASE & RATE/TERM REFINANCE

Property Type	Maximum LTV	Maximum CLTV/HCLTV	Minimum Credit Score	Underwriting Engine & Required Response
1-Unit Warrantable Condo PUD	90%	90%	720	LPA – Accept

SECOND HOME – CASH-OUT REFINANCE

Property Type	Maximum LTV	Maximum CLTV/HCLTV	Minimum Credit Score	Underwriting Engine & Required Response
1-Unit Warrantable Condo PUD	75%	75%	720	LPA – Accept

INVESTMENT PROPERTY – PURCHASE & RATE/TERM REFINANCE

Property Type	Maximum LTV	Maximum CLTV/HCLTV	Minimum Credit Score	Underwriting Engine & Required Response
1-Unit Warrantable Condo PUD	85%	85%	720	LPA – Accept
2-4 Unit	75%	75%	720	

INVESTMENT PROPERTY – CASH-OUT REFINANCE

Property Type	Maximum LTV	Maximum CLTV/HCLTV	Minimum Credit Score	Underwriting Engine & Required Response
1-Unit Warrantable Condo PUD	75%	75%	720	LPA – Accept
2-4 Unit	70%	70%	720	LPA – Accept

PROGRAM SUMMARY

Fixed and adjustable-rate, fully amortizing, conventional conforming and high balance first lien mortgage loan program specifically designed for borrowers with 7 to 10 financed properties.

PRODUCTS OFFERED

Product Name	Term	ARM Disclosure
Freddie Mac Multiple Property 30-Year Fixed	30 years	NA
Freddie Mac Multiple Property 15-Year Fixed	15 years	
Freddie Mac Multiple Property 7/6 SOFR ARM	30 years	Doc. #3384 or Equivalent
Freddie Mac Multiple Property Super Conforming 30-Year Fixed	30 years	NA
Freddie Mac Multiple Property Super Conforming 15-Year Fixed	15 years	
Freddie Mac Multiple Property Super Conforming 7/6 SOFR ARM	30 years	Doc. #3384 or Equivalent

LOAN AMOUNTS

MAXIMUM

Maximum standard conforming and high balance loan limits for 1 to 4-unit properties. See *Freddie Mac Super Conforming*, [Doc. #5347](#) for eligible locations.

ELIGIBLE PROPERTY TYPES

- 1 to 4-unit properties
- Fannie Mae/Freddie Mac-warrantable condominiums
- Planned Unit Developments (PUD)

INELIGIBLE PROPERTY TYPES

- Non-Fannie Mae/Freddie Mac-warrantable condominiums
- Cooperative properties
- Manufactured homes

MINIMUM CREDIT SCORES

Refer to the [Product Eligibility Grids](#) above

QUALIFYING RATE

FIXED

Note rate

ARM

Greater of fully-indexed or Note rate

QUALIFYING RATIOS

Determined by Loan Product Advisor (LPA)

SUBORDINATE FINANCING

Refer to the *Subordinate Financing* section of the [Conventional Underwriting Guidelines](#) for details.

Community seconds subsidized subordinate financing is not eligible.

INTERESTED PARTY CONTRIBUTIONS

Interested party contributions include funds contributed by the property seller, builder, real estate agent/broker, mortgage lender, or any other party with an interest in the real estate transaction. Interested party contributions may be used exclusively to cover closing costs and prepaid expenses.

Property Type	Maximum Contribution	
CLTV	Up to 75%	75.01-90%
Second Home	Maximum 9%	Maximum 6%
Investment Property	Maximum 2%	Maximum 2%

UNDERWRITING

All loans must meet the parameters as set out in Flagstar's [Conventional Underwriting Guidelines](#).

- Borrowers own between 7-10 financed properties. (This applies to the total number of properties financed, not just the number of mortgages sold to Freddie Mac).
- For Flagstar policies on Multiple Loans to the Same Borrower, see Conventional Underwriting Guidelines.

RESERVES

Minimum reserves of eight months of the monthly payment on each additional second home and/or 1- to 4-unit investment property that is financed and on which the Borrower is obligated. The monthly payment amount is the sum of the following monthly charges:

- Principal and interest payments on the Mortgage
- Property hazard insurance premiums
- Real estate taxes
- When applicable:
 - o Mortgage insurance premiums
 - o Leasehold payments
 - o Homeowners association dues (excluding unit utility charges)
 - o Payments on secondary financing
- LPA may require greater reserves based on the borrowers credit profile

MORTGAGE INSURANCE

Mortgage insurance providers may have additional restrictions not listed within this document. Due to rapid changes within the industry, please refer to each mortgage insurance company's website for complete details.

STANDARD MORTGAGE INSURANCE GUIDELINES

All loans above 80% LTV require mortgage insurance coverage according to the following guidelines.

LTV	30-Year	15-Year
85.01 – 90%	25%	12%
80.01 – 85%	12%	6%

NEW YORK PROPERTIES

See [Conventional Underwriting Guidelines](#).

TEXAS REFINANCE LOANS

All refinance loans in Texas will be evaluated against the criteria outlined in our Texas Refinances section to determine if the loan must be originated under the requirements of Section 50(a)(6) of the Texas Constitution. Refer to *Texas Homestead 50(a)(6)*, [Doc. #5907](#) for eligibility, documentation/disclosure, and title/closing requirements.

STATE ELIGIBILITY

Available in the following states/territories with restrictions. Those not listed are available without restrictions.



Freddie Mac Multiple Property

State	Restriction
Puerto Rico	Ineligible
New York	Refer to Mortgage Insurance section above for mortgage insurance coverage calculation requirements
US Virgin Islands	MI not available

PREPAYMENT PENALTY

None

ADJUSTABLE RATE DETAILS

Interest Rate Adjustment Caps	Initial – 5% up/down; Subsequent – 1% up/down; Lifetime – 5% up
Margin	See Price Indication Sheet
Index	30 Day SOFR (Secured Overnight Financing Rate)
Interest Rate Floor	The interest rate Floor is equal to the Margin
Change Dates	The first change date is the 84th payment due date. There is a new change date every 6 months thereafter.
Conversion Option	None
Assumption	Subject to conditions, fees and rate adjustment
Negative Amortization	None

CLOSING DOCUMENTATION – CORRESPONDENT TRANSACTIONS

Closing docs may be ordered through Flagstar's Web Based Closing Docs (WBCD) service available in Loantrac.

30-YEAR FIXED-RATE

- Fannie Mae/Freddie Mac Uniform Security Instrument, 3000-series.
- Fannie Mae/Freddie Mac multi-state Fixed Rate Note, 3200-series.
- Standard title commitment with all applicable endorsements.

7/6 SOFR ARMS

- Fannie/Freddie multi-state Adjustable Rate Note, Form# 3442.
- Fannie/Freddie multi-state Adjustable Rate Rider, Form# 3142.
- Standard title commitment with all applicable endorsements, including the variable-rate endorsement (ALTA 6.1).

IF APPLICABLE

- Fannie Mae/Freddie Mac multi-state Condo Rider, Form# 3140.
- Fannie Mae/Freddie Mac multi-state PUD Rider, Form# 3150.
- Fannie Mae/Freddie Mac multi-state 1-4 Family Rider, Form# 3170, (investment property mortgages).
- Fannie Mae/Freddie Mac multi-state Second Home Rider, Form# 3890.